

Article

Last week Barack Obama issued an executive order requiring the federal government to issue new “chip-and-PIN” credit and debit cards as part of an effort to help “drive the market towards more secure payment systems.” European consumers, who are used to using PINs with their microchip-enabled credit cards, are no doubt aghast. Why has it taken America so long to adopt the anti-fraud measures that continental consumers have used for years?

America is the only rich country that still relies on outdated technology for most credit-card transactions. It is also the only one in which the market in counterfeit credit cards is still consistently growing. Retailers, banks and card issuers lost \$5.3 billion to credit-card fraud in America in 2012, about half the global total. Here’s the trouble: upgrading cards is expensive. New card-readers are even dearer: upgrading all of the readers in America would cost hundreds of millions of dollars.

But America’s reluctance to adopt the new technology is about more than just upfront costs. After all, European companies faced the same obstacles. There are two main reasons for the split. The first is technological. During the 1990s American credit-card companies got much better at detecting potentially fraudulent purchases and stopping them at the point of sale. Their European competitors didn’t quite keep up. That meant Europe had a disproportionate incentive to switch to chip-and-PIN. The second difference is regulatory. Since European credit-card companies are responsible for paying most of the costs of fraud, they have a significant incentive to reduce it. American credit-card companies, which operate under looser regulations, have been able to pass on much of the cost of fraud to retailers and even consumers, and thus have had little incentive to spend money to reduce the costs of fraud.

Since retailers are responsible for a good chunk of the costs of fraud in America, they are now leading the way in making the switch to chip-and-PIN. Home Depot, Target, Walgreens and Walmart have already made the change, spending oodles of money on new chip-and-PIN-compatible card readers. The credit-card companies will keep up the pressure on retailers next October, when they begin requiring the party with the least-sophisticated technology to cover the cost of fraudulent transactions.

Question 1

What is the article mainly about?

- A. New credit card policy of Obama administration
- B. The more secure financial transactions in Europe
- C. Why America has been slow to adopt new technology
- D. The effect of chip-and-PIN credit cards on fraud reduction

Question 2

The word “split” in paragraph 3 is closest in meaning to

- A. coincidence
- B. difference
- C. comparison
- D. result

Question 3

Which is NOT the reason for America’s reluctance to change?

- A. Upgrading old system costs a lot of money.
- B. American card companies are not responsible for fraud losses.
- C. US and European card companies have been competing fiercely.
- D. America had more advanced anti-fraud technology in the 1990s.

Question 4

What will happen next October?

- A. Retailers will be responsible for the costs of fraud in America.
- B. Credit-card companies will put pressure on politicians.
- C. Retailers will switch to chip-and-PIN.
- D. Those with the least advanced technology will pay for fraud costs.